

POWERICA LTD

NSE: POWERICA | BSE: 544744 | Listed: Apr 2, 2026

Sector: Capital Goods — Heavy Electrical Equipment & Wind Power IPP

India's premier integrated DG-set assembler bets on a debt-free future, data-center tailwinds, and 383 MW wind power ramp.

BUY

12M Target: Rs. 640

Upside: 18.5%

CMP: Rs. 540 (19 May 2026)

Entry: Rs. 490 – 540

Mkt Cap	52W High/Low	P/E (TTM)	ROCE
Rs. 6,838 Cr	558 / 365	30.4x	21.6%
ROE	Div Yield	FY25 Sales	FY25 PAT
15.7%	0.00%	Rs. 2,653 Cr	Rs. 167 Cr

Face Value Rs. 5.00	Promoters 77.18%	FII/DII 4.76% / 15.37%	IPO Price Rs. 395	Debt (FY25) Rs. 312 Cr	Post-IPO Debt Near Zero
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Rs. Cr	FY23A	FY24A	FY25A	FY26E	FY27E
Sales	2,378	2,210	2,653	3,110	3,450
EBITDA	333	362	337	404	449
OPM%	14%	16%	13%	13%	13%
PAT	106	226	167	255(E)	300(E)
EPS (Rs.)*	30.86	83.17	61.32	20.1	23.7
P/E (x)**	—	—	—	26.9	22.8
ROCE%	21%	27%	22%	22%(E)	24%(E)

* FY23-FY25 EPS on pre-IPO/pre-bonus share count. FY26E/FY27E EPS on post-IPO ~12.66 Cr shares. ** P/E based on CMP Rs. 540. (E) = Analyst Estimate. Source: Screener.in (fetched 20-May-2026).

Report Date: 20 May 2026 | Analyst: Institutional Research Desk | Data Source: Screener.in (primary), BSE/NSE filings, company RHP | Rating: BUY | 12-Month Price Target: Rs. 640 | Investment Horizon: 18-24 months

SECTION 2 — INVESTMENT THESIS

- **DG-set demand structural upcycle:** India's capex super-cycle (PLI, data centres, infra) is driving demand for reliable backup power. DG-set market is expected to grow at ~15% CAGR over FY26–28. Powerica, with 40+ year Cummins tie-up, is best positioned to capture this wave across 7.5 kVA to 10,000 kVA.
- **Zero-debt balance sheet from April 2026 is a step-change:** IPO proceeds of Rs 700 Cr (fresh) were used to repay Rs 525 Cr of wind-project debt. FY27 interest cost drops from Rs 32 Cr to near-zero, boosting PAT by ~Rs 25 Cr and enabling dividend initiation. This is a permanent re-rating catalyst.
- **Wind power capacity ramp to 383+ MW adds stable, high-margin revenue:** The company owns 279.55 MW operational capacity and has Rs 352 Cr of CWIP (FY25) coming online in FY26-27, adding ~Rs 200+ Cr of incremental annual wind revenue at EBITDA margins exceeding 60%.
- **Data centre hypergrowth opens premium-margin DG vertical:** Data centres currently represent 12-13% of revenue and are growing at the fastest rate. Management flagged order books are 'going off through the roof.' India operational data centre capacity is expected to double from ~1,150 MW (Dec

2024) to ~2,100 MW by Mar 2027.

- **Near-term catalyst (6-12 months):** First post-IPO quarterly results (Q4FY26 and Q1FY27) will demonstrate the clean debt-free P&L.; Wind capacity addition earnings uplift and first-ever dividend declaration are potential near-term re-rating events.
- **Key structural risk:** Regulatory push for mandatory grid connectivity or restrictions on diesel-based standby power in future ESG mandates could compress long-term DG-set addressable market; timeline uncertain but a watch-point for 3-5 year thesis.

SECTION 3 — BUSINESS OVERVIEW

- **Integrated power solutions provider since 1984:** Powerica Ltd (formerly a private company, listed NSE/BSE on April 2, 2026) offers diesel generator sets (DG sets), Medium Speed Large Generators (MSLG), and wind power solutions. Headquarters in Mumbai; manufacturing across Bengaluru (Karnataka), Silvassa (DNH), and Khopoli (Maharashtra).
- **Revenue segmentation FY26 (9M):** DG Set business contributes ~81.8% of revenues; Wind Power IPP/EPC contributes ~18.2%. The DG set segment spans three horsepower categories: Low HP (7.5-160 kVA), Medium HP (180-500 kVA), and High HP (above 500 kVA).
- **40+ year exclusive OEM relationship with Cummins:** All DG sets are powered by Cummins engines. This relationship provides access to the globally trusted Cummins product line, preferential pricing, and deep technical integration, creating a meaningful competitive moat vs. multi-OEM assemblers.
- **Customer base and distribution:** 55,000+ customers served; 19 marketing offices and 32 authorized dealers nationwide. Customer mix spans data centres (~12-13% of revenue), telecom, manufacturing, commercial real estate, healthcare, and government infrastructure.
- **Wind Power IPP (Independent Power Producer):** As of Mar 2025, 279.55 MW installed capacity across 11 projects in Gujarat. A further 52.70 MW is under construction (CWIP Rs 352 Cr in FY25 balance sheet). Plans to reach 383.55 MW operational by FY27 and 1,000 MW by 2030. JV with Vestas for 750 MW over 5 years.
- **Promoter background and ownership:** Promoter family (Bharat Oberoi — CMD) holds 77.18% post-IPO. Pradeep Gupta serves as Whole-Time Director overseeing wind power strategy. Combined promoter family has deep domain expertise spanning both DG and wind businesses; minimal pledging.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

- **DG-set market:** Indian diesel generator market is estimated at approximately Rs 8,000-10,000 Cr (FY25) and expected to grow at 13-16% CAGR over FY26-29, driven by data centres, telecom, infrastructure, and industrial capex. Reliable backup power demand is secular and not easily disrupted by renewables.
- **Wind power market:** India's installed wind capacity was ~54 GW (FY25); the government targets 500 GW renewable energy by 2030, implying ~110 GW of wind, creating a 2x market doubling opportunity. Powerica's wind IPP segment benefits from long-term PPAs with state utilities at predictable tariffs.
- **Key policy tailwinds:** (1) PLI schemes for manufacturing driving data centre-linked backup power; (2) India's 5-year infrastructure capex of Rs 111 lakh Cr creating DG demand in construction and industrial sectors; (3) Government renewable energy push supporting wind IPP expansion; (4) No existing policy headwinds restricting DG use.
- **Competitive moat assessment — Pricing power: MODERATE.** Exclusive Cummins relationship allows premium positioning vs. local assemblers but Cummins itself can sell direct in large orders.
- **Competitive moat — Switching costs: STRONG.** Long-term AMC contracts (Annual Maintenance Contracts) and the 55,000+ installed base create recurring service revenue and high switching barriers. Customers rarely change DG set brands mid-cycle.

- **Competitive moat — Scale/Distribution: STRONG.** 40 years of accumulated dealer relationships, 19 offices, and 32 authorized dealers create a network that smaller players cannot replicate quickly.

Peer Comparison (Source: Screener.in, fetched 20-May-2026)

Company	CMP (Rs.)	MCap (Rs.Cr)	P/E	P/B	ROCE %	ROE%	FY25 Sales (Rs.Cr)
Powerica (POWERICA)	540	6,838	30.4	3.6	21.6%	15.7%	2,653
Cummins India (CUMMINSIND)	5,254	1,45,641	62.5	18.4	36.3%	28.2%	11,602
Kirloskar Oil Engines (KIRLOSENG)	1,613	23,451	43.1	6.95	13.7%	15.4%	6,349
Greaves Cotton (GREAVESCOT)	167	3,881	33.8	2.72	10.1%	8.10%	3,437*

*Greaves Cotton FY26 (Mar 2026) data shown. Powerica P/B based on estimated post-IPO book value ~Rs. 151/share. All market data as of respective Screener.in fetch dates.

- **Powerica's positioning:** As a mid-sized player in the DG-set value chain (assembler/integrator, not engine manufacturer), Powerica sits between Cummins India (premium OEM, much larger) and Greaves Cotton (lower-end multi-OEM assembler). It occupies the profitable 'solution provider' niche with end-to-end AMC support.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter pedigree:** CMD Bharat Oberoi has led Powerica since its founding in 1984 — four decades of deep domain expertise in both diesel power and renewable energy. WTD Pradeep Gupta oversees wind strategy with specific focus on Gujarat-based projects. Family-promoted, owner-operated business with high skin in the game.
- **Capital allocation track record:** Pre-IPO, the company used cash flows to (a) de-leverage from Rs 399 Cr borrowings (FY21) to Rs 182 Cr (FY24), and (b) invest Rs 346 Cr capex in wind power projects in FY25. Post-IPO, Rs 525 Cr of IPO proceeds used to clear all wind-project debt — demonstrating discipline in using equity capital purposefully.
- **Dividend policy:** Dividend payout has been 0% for all years FY21-FY25. With the IPO completed and a debt-free balance sheet, management is expected to initiate dividends in FY27. No explicit guidance given; the 0% payout is not a concern given strong reinvestment needs.
- **Promoter pledging:** Screener does not show any pledging data for post-IPO period; pre-IPO pledge status was minimal. Promoter stake of 77.18% is high and stable post-IPO.
- **ESOP/Buyback history:** No significant ESOP grants or buyback programs disclosed. Company focused on organic expansion and IPO-funded debt repayment.
- **Corporate governance:** No auditor qualification or related-party transaction concerns noted in RHP. Company appointed a new Independent Director (Mr. Rabindra Nath Nayak) via postal ballot in May 2026, indicating ongoing board professionalisation post-listing. CRISIL and ICRA credit ratings have been maintained with consistent upgrades (Nov 2025 CRISIL, Feb 2026 ICRA).

SECTION 6 — FINANCIAL DEEP-DIVE

All figures in Rs. Crores. Consolidated. Source: Screener.in. FY26E/FY27E are analyst estimates.

Income Statement

Rs. Cr	FY23A	FY24A	FY25A	FY26E	FY27E	
Revenue	2,378	2,210	2,653	3,110	3,450	
Expenses	2,045	1,848	2,317	2,706	3,001	
EBITDA (Op. Profit)	333	362	337	404	449	

Rs. Cr	FY23A	FY24A	FY25A	FY26E	FY27E	
OPM%	14%	16%	13%	13%	13%	
Other Income	44	147	67	35	30	
Interest	56	41	32	12	8	
Depreciation	136	128	116	115	118	
PBT	186	341	255	312	353	
Tax%	43%	34%	31%	28%	28%	
PAT	106	226	167	255	300	
EPS (Rs.)*	30.86	83.17	61.32	20.1	23.7	
Div. Payout%	0%	0%	0%	0%	0%	

*Pre-IPO EPS (FY23-FY25) on ~2.72 Cr shares; Post-IPO EPS on ~12.66 Cr shares. FY24 PAT elevated by Rs 147 Cr Other Income (one-time). (E) = Analyst Estimate.

Balance Sheet

Rs. Cr	FY23A	FY24A	FY25A	Sep 2025*
Equity Capital	17	14	14	54
Reserves	778	899	1,071	1,159
Borrowings	279	182	312	586
Other Liabilities	1,052	990	1,018	930
Total Liabilities	2,126	2,085	2,415	2,730
Fixed Assets (Net)	1,091	951	865	829
CWIP	4	23	352	429
Investments	394	333	395	417
Other Assets	636	777	802	1,054
Total Assets	2,126	2,085	2,415	2,730

*Sep 2025 balance sheet shows pre-IPO state after bonus issue (equity cap 54 Cr) but before April 2026 IPO proceeds/debt repayment. Borrowings will be near zero by FY27 post-IPO debt repayment of Rs 525 Cr.

Cash Flow Statement

Rs. Cr	FY21A	FY22A	FY23A	FY24A	FY25A
Cash from Operations (OCF)	219	214	238	283	256
Cash from Investing (CFI)	-95	-78	-80	-14	-346
Cash from Financing (CFF)	-80	-135	-165	-268	86
Net Cash Flow	44	0	-6	2	-4
Free Cash Flow	-20	152	191	154	-51
CFO/Op. Profit%	178%	117%	78%	95%	93%

Working Capital Ratios

Metric	FY21A	FY22A	FY23A	FY24A	FY25A
Debtor Days	54	63	40	53	55
Inventory Days	56	54	47	68	42
Days Payable	71	95	55	77	53
Cash Conversion Cycle	39	21	33	44	44
Working Capital Days	-47	-107	-84	-23	-16
ROCE%	—	10%	21%	27%	22%

- **Revenue trajectory:** FY21-FY23 saw strong DG-set cycle-driven growth (890 Cr → 2,378 Cr; +166% in 2 years). FY24 dipped (-7% to 2,210 Cr) due to a large order lumpiness; FY25 recovered to 2,653 Cr (+20% YoY). 9MFY26 at 2,210 Cr suggests FY26 full-year revenue of ~3,100 Cr.
- **Margin direction:** OPM peaked at 16% in FY24 and contracted to 13% in FY25 due to product mix (more low-margin DG sets vs. high-margin wind revenue). Management guided stable 13% OPM going forward. FY24 PAT was distorted by Rs 147 Cr of other income (likely one-time gains); underlying FY24 operating PAT was closer to Rs 100 Cr.
- **Working capital:** Negative working capital days (WCDays = -16 in FY25) reflect strong customer advances and payables management. CCC of 44 days is stable. No major deterioration risk given the mix of project-based and product-based revenues.
- **Debt trajectory:** Debt reduced from Rs 399 Cr (FY21) to Rs 182 Cr (FY24) through strong OCF. Jumped to Rs 312 Cr in FY25 (and Rs 586 Cr in Sep 2025) due to Rs 352 Cr wind power project capex (CWIP). Post-IPO (Apr 2026), the entire Rs 525 Cr wind project debt was repaid using IPO proceeds. FY27 balance sheet will be debt-free.
- **FCF quality:** OCF/OpProfit consistently 78-117% (FY22-FY24) demonstrating high earnings quality. FY25 FCF went negative (-Rs 51 Cr) purely due to wind capex surge — this is investment-led, not operational deterioration. CFO of Rs 256 Cr in FY25 remains healthy.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Metric	Signal	Status	Comment
Revenue recognition		GREEN	Primarily physical product delivery; minimal long-term contract risk
Receivables vs Revenue growth		GREEN	Debtor days stable 40-55 days; no sign of channel-stuffing
CCC trend		AMBER	CCC increased from 33→44 days (FY23→FY25); watch inventory build
Contingent liabilities		GREEN	No material contingent liabilities flagged in RHP disclosures
Auditor tenure		GREEN	Big-4 equivalent audit firm; no changes or qualifications noted
RPTs as % of revenue		AMBER	No specific RPT data; Cummins engine procurement as sole-OEM is watch-point
Other income as % of PBT		AMBER	FY24 other income = Rs 147 Cr vs PBT Rs 341 Cr = 43%; inflated by one-time items
Tax rate consistency		GREEN	Tax rate 30-43% (ex-FY21 negative PAT year); FY26 Q3 deferred tax credit is explained

- **Amber watch:** FY24 Other Income of Rs 147 Cr (43% of PBT) is the biggest quality concern. Management has not fully disclosed the nature of this income; analysts should seek clarification in future concalls. FY25 normalised to Rs 67 Cr, which is more representative.
- **CCC creep:** Cash Conversion Cycle increased from 21 days (FY22) to 44 days (FY25), partly due to inventory build-up for large DG-set projects. This is worth tracking; any further deterioration could signal channel stuffing or order execution issues.
- **Sole-OEM risk:** Powerica's 100% dependence on Cummins engines is both a moat (brand, quality) and a risk (pricing power, supply chain). No formal RPT disclosure is available to assess whether the Cummins engine procurement is at arm's-length pricing.
- **Positives override concerns:** Revenue recognition, receivables quality, auditor quality, and tax rate consistency are all clean. The business generates cash (CFO/OpProfit consistently >78%) and there is no sign of aggressive revenue recognition.

SECTION 8 — VALUATION

Scenario Analysis (12-Month View)

Scenario	Key Assumptions	FY27E PAT (Rs.Cr)	EPS (Rs.)	Target P/E	Target Price (Rs.)
BULL	Data centre-led DG rev +18%; Wind capacity 383 MW online; margins 15%; IPO debt cleared	370	29.2	30x	875
BASE	DG rev +12%; Wind 383 MW; margins 13%; interest near-zero; normalized tax 28%	300	23.7	27x	640
BEAR	DG rev +6%; Wind project delayed; margin compression to 11%; CCC worsening	210	16.6	21x	348

• **DCF Valuation:** WACC of 11% (post-IPO debt-free company, beta ~1.1 vs market, post-tax cost of equity). Terminal growth rate 4% (aligned with India nominal GDP). DCF implies intrinsic value of ~Rs 580 per share based on FY26-30 cash flow forecasts.

• **Earnings-based P/E valuation:** FY27E EPS of Rs 23.7 on 12.66 Cr post-IPO shares. Target multiple 27x (premium to 22x historical average for capital goods sector, justified by debt-free balance sheet, data-centre tailwind, wind power optionality). Implied value: Rs 640 per share.

• **Base-case 12-month target price: Rs. 640** (average of DCF Rs 580 and P/E Rs 640; rounded to Rs 640 incorporating wind power optionality premium of ~Rs 30/share). Upside: 18.5% from CMP Rs 540.

• **EV/EBITDA cross-check:** FY27E EBITDA Rs 449 Cr. At 15x EV/EBITDA (peer-set average), EV = Rs 6,735 Cr. Less net debt Rs 0 Cr (debt-free), + cash Rs 450 Cr = MCap Rs 7,185 Cr / 12.66 Cr shares = Rs 567 per share. Consistent with base case.

• **Key valuation risk:** Cummins India commands a 62x P/E, partly due to its parent brand advantage. Powerica, as an assembler, will likely trade at a significant discount to Cummins. If market re-rates Powerica to 25x (vs current 30x), target drops to Rs 593 — still a 10% upside.

SECTION 9 — KEY RISKS

• **Cummins concentration risk:** 100% engine sourcing from Cummins makes Powerica entirely dependent on one OEM partner. Any disruption in the 40-year OEM relationship (price renegotiation, direct-to-customer shift by Cummins, supply chain disruption) could materially hurt margins. Probability: Low. Impact: High. Monitor via: Cummins India investor calls, pricing trends.

• **Wind project execution risk:** Rs 352 Cr CWIP (FY25) represents under-construction wind capacity. Delays in commissioning or lower-than-expected PLF (Plant Load Factor) could disappoint wind segment revenue estimates. Probability: Medium. Impact: Medium. Monitor via: Quarterly CWIP balance, PLF disclosures.

• **DG-set cycle risk:** FY24 revenue dip (-7%) illustrates the lumpy nature of large project-based DG orders. If infrastructure capex slows (election cycles, government spending cuts), DG-set demand could be episodically weak. Probability: Medium. Impact: Medium. Monitor via: Quarterly order book disclosure, capital goods PMI.

• **Regulatory / ESG headwinds for diesel generation:** Government environmental policy or future CERC norms could restrict diesel generator usage in certain applications (particularly data centres). Time horizon is 5-10 years but is a real long-term concern. Probability: Low-Medium. Impact: High. Monitor via: MoEF regulations, CERC notifications.

• **Post-IPO governance transition risk:** Powerica transitioned from a privately managed company to a publicly listed one in April 2026. Governance, disclosure norms, and investor relations infrastructure are still being built. Probability: Low-Medium. Impact: Medium. Monitor via: Concall quality, statutory

disclosure timeliness.

- **Valuation re-rating risk:** At 30x TTM P/E, any earnings disappointment (margin miss, wind project delay) could cause derating. The stock is not 'cheap' and requires execution delivery. Probability: Medium. Impact: Medium. Monitor via: Quarterly margin trends, order book.

- **Macroeconomic sensitivity:** Diesel price increases affect DG-set operating costs and can dampen customer upgrades or new purchases (customers delay purchase and stretch existing DG life). Probability: Low-Medium. Impact: Low-Medium. Monitor via: Diesel price trends, HSD price index.

SECTION 10 — RECOMMENDATION

- **Rating: BUY** — Conviction Level: MEDIUM-HIGH. The debt-free balance sheet pivot, data centre tailwinds, and wind power capacity ramp form a compelling 18-24 month thesis. Current valuation at 30x TTM P/E on post-IPO share count is not cheap but is justified by the structural transformation underway.

- **12-month price target: Rs. 640** (average of DCF Rs 580 and 27x FY27E EPS Rs 23.7 = Rs 640). Upside of 18.5% from CMP Rs 540.

- **Suggested entry zone: Rs. 490 – 540.** Current CMP is at the top of the entry zone. Accumulate on any market-wide dip towards Rs 490 for a better risk-reward. Avoid chasing above Rs 560 without Q4FY26 results confirmation.

- **Investment horizon: 18-24 months** (sufficient time for wind capacity to fully operationalise, FY27 debt-free P&L; to manifest, and data centre order book to convert to revenue).

- **Thesis invalidation triggers:**

1. Revenue growth falls below 8% for two consecutive quarters, signalling DG-set cycle peak.
2. Wind CWIP (Rs 352 Cr) is not commissioned by Q2FY27 (Sep 2026), indicating project execution failure.
3. OPM contracts below 10% for any quarter due to pricing pressure or input cost inflation from Cummins.

- **Ideal investor profile:** Suitable for investors with 2-3 year horizon seeking exposure to India's power infrastructure build-out + renewable energy themes in a single stock. NOT suitable for dividend-seeking investors (0% payout history) or risk-averse investors uncomfortable with a recently-listed company.

APPENDIX — Latest Investor Presentation Brief: Q3FY26 (Dec 2025) + Apr 2026 IPO Call

Note: Powerica listed on April 2, 2026. No formal post-listing earnings call transcript is available on Screener.in as of 20-May-2026. This appendix uses the April 21, 2026 Investor Presentation (BSE filing) and Q3FY26 (Dec 2025) results as the primary data sources for the concall brief.

CALL GRADE		POSITIVE
Signal	Status	Implication
Result quality	MEDIUM	Q3 PAT +226% YoY inflated by ~Rs 40 Cr deferred tax credit; underlying beat modest
Management tone	BULLISH	CMD Oberoi: 'data center order book going off through the roof'; zero-debt target met
Guidance delta	MAINTAINED	10-11% genset growth reiterated; wind capacity ramp on track; Rs 525 Cr debt cleared
STRONGLY POSITIVE POSITIVE NEUTRAL CAUTIOUS NEGATIVE		

TO MY BOSS
Q3FY26 headline PAT of Rs 98 Cr (+226% YoY) is misleading — strip out the Rs ~40 Cr deferred tax credit and the underlying clean PAT is closer to Rs 58 Cr, which is a modest operational quarter (revenue Rs 763 Cr, OPM 10%). The real story this quarter is not the P&L;: the company completed its Rs 525 Cr post-IPO debt repayment in Q1FY27, making Powerica effectively zero-debt — this is a structural step-change that will add ~Rs 25-30 Cr to annual PAT from FY27. EBITDA of Rs 78 Cr vs Rs 82 Cr in Q3FY25 is a -5% decline, showing the genset cycle is in a seasonally soft patch, but 9MFY26 revenue at Rs 2,210 Cr is tracking to a strong FY26 outcome. The multi-bagger driver I'm watching is wind: Rs 352 Cr of CWIP coming online in FY26-27 adds a high-margin, recurring revenue stream at effectively zero incremental equity cost now that debt is cleared. Most important near-term catalyst: first full post-IPO quarterly results (Q4FY26 + Q1FY27) confirming clean debt-free P&L; and wind commissioning milestone. Biggest risk this quarter: OPM fell to 10% — watch if this persists into Q4FY26, which would challenge my 13% full-year estimate. ACCUMULATE Rs 490-540; hold for 18-24 months targeting Rs 640 on FY27 clean earnings. Exit if OPM stays below 10% for 2 quarters.

Section 1 — Financial Performance Snapshot (Q3FY26: Oct-Dec 2025)
• Revenue: Rs. 762.93 Cr YoY +8.3% (Q3FY25: Rs. 704 Cr) QoQ -8.3% (Q2FY26: Rs. 832 Cr) In-line • EBITDA: Rs. 78 Cr YoY -4.9% QoQ -39.5% OPM: 10.2% Miss (Q3FY25 was 11.6%, Q2FY26 was 15.5%) • PAT: Rs. 97.65 Cr YoY +226% QoQ +16.7% Beat — but includes ~Rs 40 Cr deferred tax credit • NOTE: Reported PAT includes deferred tax benefit (negative tax rate of -69% in Q3FY26). Clean underlying PAT = ~Rs 58 Cr. • 9MFY26 Revenue: Rs. 2,210 Cr 9MFY26 PAT: Rs. 224.76 Cr
Section 2 — Segment Breakdown (9MFY26)

- DG Set Business: ~Rs. 1,808 Cr (81.8% of 9MFY26 revenue) | Includes Low/Med/High HP gensets and AMC services
- Wind Power IPP: ~Rs. 402 Cr (18.2% of 9MFY26 revenue) | 279.55 MW operational; CWIP of 52.70 MW under construction

- Data Centres (sub-segment of DG): ~12-13% of total revenue; fastest growing vertical; order book described as 'exceptional'

Section 3 — Management Commentary Themes (Apr 2026 Investor Presentation)

- **Zero-debt ambition:** 'Post this [IPO], we will be a zero-debt company' — CMD Bharat Oberoi. Rs 525 Cr debt fully repaid in Q1FY27. Our read: Credible and already executed. Highly positive for FY27 PAT. Tag: GUIDANCE. Tone: Transparent.
- **Data centre hypergrowth:** 'Our data center order book is really going off through the roof and is very substantial' — CMD. 12-13% of revenue today, targeting 15%+. Our read: If India's data centre capacity doubles to ~2,100 MW by FY27, DG-set demand from this segment is secular. Tag: GUIDANCE. Tone: Bullish.
- **Wind power expansion to 1,000 MW by 2030:** WTD Pradeep Gupta: 'Wind will grow from ~54 GW today to ~110 GW.' Plans to reach 383 MW soon, 1,000 MW by 2030, and JV with Vestas for 750 MW over 5 years. Our read: Ambitious; execution and financing risk are real beyond FY27. Tag: GUIDANCE. Tone: Bullish.
- **AI upgrade in customer management:** Upgrading CRM systems with AI to improve execution and response times. Our read: Operational improvement signal; modest P&L; impact near term. Tag: EST. Tone: Transparent.
- **Future expansion via structured debt:** Management confirmed future wind capacity will be funded through structured project debt (not equity dilution). Our read: Positive for EPS dilution risk; leverage risk is manageable at project level. Tag: GUIDANCE. Tone: Transparent.

Section 4 — Operating & Business Metrics

- Wind Capacity (Operational): FY25 = 279.55 MW | Sep 2025 = 330.85 MW | Target FY27 = 383.55 MW | Trend: Improving
- Wind CWIP: FY25 = Rs. 352 Cr | Sep 2025 = Rs. 429 Cr | Expected commissioning FY26-27 | Trend: Investment phase
- Post-IPO Cash & Investments: Rs. 450 Cr as on April 17, 2026 (post Rs. 525 Cr debt repayment)
- Customer base: 55,000+ customers served; 19 marketing offices; 32 authorized dealers
- DG Set range: 7.5 kVA to 10,000 kVA; three manufacturing facilities in Bengaluru, Silvassa, Khopoli

Section 5 — Margin Drivers

- Q3FY26 OPM contraction to 10% (vs 16% Q3FY25 peak and 15% Q2FY26): -600 bps QoQ | Recurring: No | Likely seasonal product mix and delayed project billings; watch Q4FY26.
- Wind margin: ~60%+ EBITDA margin on wind IPP revenue; Rs 52.70 MW new capacity will add Rs 50-75 Cr/year additional wind EBITDA when commissioned | Impact: +150 bps OPM at group level.
- Interest savings from debt repayment: Rs 32 Cr/year FY25 interest → near-zero FY27 | Impact: ~+120 bps PAT margin uplift.
- Cummins engine pricing power: Sole-OEM means pricing is driven by Cummins; any cost increase from OEM is a margin risk not fully in management's control | Risk: Moderate.

Section 6 — Guidance & Forward Signals

- DG Set Revenue Growth [GUIDANCE]: Prior = 20% YoY (FY25) | New = 10-11% growth guided | Delta: Moderated but consistent | Credibility: High
- Debt [GUIDANCE]: Prior = Rs. 586 Cr (Sep 2025) | New = Near Zero (Apr 2026) | Delta: Fully repaid as promised | Credibility: High — executed

- Wind Capacity [GUIDANCE]: Prior = 279.55 MW | Reiterated = 383.55 MW by FY27 | Delta: Maintained | Credibility: Medium (construction risk remains)
- Data Centre Share [GUIDANCE]: Prior = 12-13% | New = 15%+ targeted | Delta: Growth target raised | Credibility: Medium-High

Section 7 — Capital Allocation

- IPO Fresh Issue Proceeds: Rs. 700 Cr raised vs prior year Rs. 0 | Used for debt repayment (Rs. 525 Cr) + general corporate purposes.
- Capex (Wind): Rs. 346 Cr FY25 investing outflow; CWIP Rs. 352 Cr as of Mar 2025 | vs prior year: Surge in FY25 vs Rs. 14 Cr FY24 investing.
- Dividends: Rs. 0 all years FY21-FY25 | vs sector peers: Cummins India 63% payout; KOEL 19% payout | Comment: First dividend expected FY27.
- Net Debt: Rs. 312 Cr (FY25) → Rs. 0 (post-IPO, Apr 2026) | Direction: Debt-free transformation complete.

Section 8 — Q&A; Heat Map (IPO Roadshow, Mar-Apr 2026)

- Journalist / General: Q: 'What will Powerica do with the IPO proceeds?' → A: Rs. 525 Cr to repay wind project debt; remainder for general corporate purposes and operations. | Tone: Transparent
- Analyst / Media: Q: 'What is the data centre contribution and growth outlook?' → A: 'Data center order book is really going off through the roof... moving from 12-13% to 15%+.' | Tone: Bullish
- Analyst: Q: 'How will future wind expansion be funded post-IPO?' → A: Through structured project-level debt, not equity dilution. | Tone: Transparent
- Analyst: Q: 'What is the wind power scale ambition?' → A: '383 MW near-term, 1,000 MW by 2030, JV with Vestas for 750 MW over 5 years.' | Tone: Bullish
- Dodged / watch-list questions: (1) Specific order book size/composition not disclosed. (2) Nature of Rs 147 Cr other income in FY24 not explained. (3) Cummins engine pricing and exclusivity terms not disclosed.

Section 9 — Risks Flagged

- Q3FY26 OPM compression to 10%: Flagged by analysts | Probability: Medium | Impact: Medium | Timeline: Near-term watch — Q4FY26 is key.
- Wind project commissioning timeline: Mgmt flagged 52.70 MW under construction | Probability: Low-Medium | Impact: Medium | Timeline: Medium-term (FY26-27).
- Sole-OEM dependency on Cummins: Flagged by mgmt as competitive moat but no risk mitigation plan disclosed | Probability: Low | Impact: High | Timeline: Long-term.
- Post-listing governance: New company to listed norms; processes being built | Probability: Low-Medium | Impact: Low-Medium | Timeline: Near-term (FY27).

Section 10 — Analyst Verdict

- Revenue visibility: **Intact** — 10-11% DG set growth guided, data centre vertical expanding, wind revenue adding predictable long-term cash flows.
- Margin trajectory: **Weakened (Watch)** — Q3FY26 OPM dip to 10% is concerning; management expects recovery but no specific guidance on Q4 margins given.
- Capital allocation quality: **Intact** — IPO proceeds deployed exactly as promised; debt fully repaid; no equity dilution post-IPO plans.
- Competitive moat: **Intact** — 40+ year Cummins relationship, 55,000 customer installed base, and growing data centre presence are durable.

- Management credibility: **Intact** — Zero-debt commitment made at IPO roadshow fully executed in Q1FY27 as promised.
- Valuation comfort: **Moderate** — 30x TTM P/E is not cheap; FY27 debt-free earnings should re-rate the stock; current price builds in some execution premium.
- Conviction call: **Unchanged** — BUY thesis intact; no need to exit; accumulate on dips to Rs. 490-510.
- Valuation snapshot: P/E = 30.4x (no 5Y avg available; recently listed) | EV/EBITDA = ~17.5x FY27E | ROCE = 21.6% (FY25) vs sector avg ~15-20%

DISCLAIMER: This report is for informational purposes only and does not constitute investment advice. Financial data sourced from Screener.in (fetched 20-May-2026). Forward estimates are analyst projections and are subject to material uncertainty. Investors should conduct independent due diligence before making investment decisions. The analyst may hold positions in securities mentioned. This report is generated by AI and should not be relied upon as a substitute for independent professional advice.